

Futures Commission Merchant (“FCM”) Disclosures (CFTC Rule 17 CFR 1.55(k) and 1.55(o))

Kinetic Markets, LLC (“Kinetic Markets”) is a registered Futures Commission Merchant (“FCM”) with the Commodity Futures Trading Commission (“CFTC”) and a member of the National Futures Association (“NFA”). Kinetic Markets is wholly owned by Kalshi Inc. Kalshi Inc. also owns KalshiEx LLC (“KalshiEx”), a CFTC-regulated designated contract market, and Kalshi Klear LLC (“Kalshi Klear”), a CFTC-regulated derivatives clearing organization.

The CFTC requires each FCM to provide the following information to a customer prior to the time the customer first enters into an account agreement with the FCM or deposits money or securities (collectively, “funds”) with the FCM. Except as otherwise noted below, the information set out is as of June 3, 2026. Kinetic Markets will update this information annually and as necessary to take into account of any material change to its business operations, financial condition or other factors that Kinetic Markets believes may be material to a customer’s decision to do business with Kinetic Markets. Nonetheless, the business activities and financial data of Kinetic Markets are not static and will change in non-material ways frequently throughout any 12-month period.

Firm Information

Pursuant to CFTC Rule 1.55(k)(1), the following information details our name, address of its principal place of business, phone number, fax number, and email address.

Kinetic Markets LLC.

416 West 13th Street

New York, NY 10014

Phone: (+1) [201-870-0389](tel:201-870-0389)

Email: general@kalshiarc.com

Facsimile: N/A

Website:

Firm Principals

Pursuant to CFTC Rule 1.55(k)(2), the following information details the name, title, business address, business background, areas of responsibility, and the nature of the duties of each person that is defined as a principal of the futures commission merchant pursuant to CFTC Rule 17 CFR 3.1(a).

Name & Title	Business Background
Lior Hirschfeld Chief Executive Officer (NFA ID: 0575249)	Mr. Hirschfeld is the CEO and oversees the FCM's operations. Prior to serving as the CEO of Kinetic Markets, Mr. Hirschfeld was Kalshi Exchange's CTO. Earlier in his career, he worked at Google, Twitch, and on the macro trading desk at D.E. Shaw. Mr. Hirschfeld earned an S.B. in Mathematics and Computer Science from MIT. He is licensed with the FINRA Series 3.
James Michael Hill Chief Compliance Officer (NFA ID: 0578460)	Mr. Hill is the CCO and oversees the FCM's regulatory compliance program. Prior to joining Kalshi, Mr. Hill was a Vice President within the Swap Dealer Compliance team at Goldman Sachs. There, he served as the Global Lead for First Line Advisory and Head of the Swap Dealer Compliance Monitoring and Testing Team, covering CFTC Swap Dealer ("SD") and SEC Security-Based Swap Dealer ("SBSD") requirements globally. Earlier in his career, Mr. Hill was a Vice President and Senior Compliance Officer at BNP Paribas in the Global Banking and Regulations Team, where he focused on CFTC SD, SEC SBSD, and Volcker Rule advisory. Mr. Hill began his career as a Management Consultant at KPMG, specializing in the financial services and compliance risk management sectors. Mr. Hill earned a B.A. in Social Sciences with a concentration in Economics from New York University.
Daihee Cho Chief Financial Officer (NFA ID: 0578714)	Mr. Cho is the CFO and oversees the FCM's financial program. Prior to joining Kalshi, Mr. Cho was the CFO of R.J. O'Brien Securities, LLC, the Broker-Dealer ("BD") of the R.J. O'Brien franchise. Daihee served as the Principal Executive Officer and FinOp of the BD, and he also supported the financial operations of R.J. O'Brien & Associates, LLC, registered FCM. Daihee routinely supported/led regulatory exams and financial statement audits

Name & Title	Business Background
	for both FCM and BD. Upon StoneX Group Inc. acquiring R.J. O'Brien in July 2025, Mr. Cho contributed to the enhancement of regulatory capital operations at StoneX Financial Inc. (dually registered FCM and BD). Mr. Cho started his career at PricewaterhouseCoopers in Chicago, specializing in audits of financial services firms from 2015 to 2021, then served as a controller at Halo Investing Inc., a FinTech firm with a BD subsidiary, from 2021 to 2023. Mr. Cho earned a B.S. and M.S. in Accountancy from Northern Illinois University. Daihee is currently licensed as a Certified Public Accountant ("CPA"), Certified Internal Auditor ("CIA"), and FINRA Series 7, 24, 27, and 63.
Tarek Mansour Indirect Owner (NFA ID: 0576469)	Mr. Mansour is the CEO and co-founder of Kalshi Inc.
Luana Lopes Lara Indirect Owner (NFA ID: 0576453)	Ms. Lopes Lara is the COO and co-founder of Kalshi Inc.
Kalshi Inc. Parent Entity (NFA ID: 0577164)	Kalshi Inc. is the parent entity of Kalshi Exchange, Kalshi Klear, and Kinetic Markets, LLC

Firm Business Activities

Pursuant to CFTC Rule 1.55(k)(4), below is a description of the Firm's business on behalf of its customers.

Kinetic Markets, LLC is a wholly owned subsidiary of Kalshi, Inc. and is affiliated with Kalshi Ex, LLC and KalshiKlear, LLC. Kinetic Markets will offer only perpetual futures contracts to be bought and sold through its online platform. Kinetic Markets will trade on KalshiEx, clear its trades through Kalshi Klear, and clear funds through a fully-disclosed settlement process.

Kinetic Markets's customers are all part of the customer-base of its affiliated exchange, Kalshi Ex, LLC. Kinetic Markets does not engage in proprietary trading and facilitates the trading of perpetual futures contracts for its customers and are traded 24 hours a days. Kinetic Markets does not offer any products, other than perpetual futures contracts, to its customers. Kinetic Markets, LLC engages Silicon Valley Bank, and Kalshi Klear, LLC for deposits of customers' funds.

All of Kinetic Markets's capital supports its customer business and Kinetic Markets maintains sufficient excess regulatory capital to support its futures customer business. The Firm generally maintains a ratio of Adjusted Net Capital (ANC) to Regulatory Capital Required above 120%.

Material Risks

Pursuant to CFTC Rule 1.55(k)(5), below is a description of the Firm's material risks, accompanied by an explanation of how such risks may be material to its customers, of entrusting funds to the futures commission merchant, including, without limitation:

- A. the nature of investments made by the futures commission merchant (including credit quality, weighted average maturity, and weighted average coupon);*
- B. the futures commission merchant's creditworthiness, leverage, capital, liquidity, principal liabilities, balance sheet leverage and other lines of business;*
- C. risks to the futures commission merchant created by its affiliates and their activities, including investment of customer funds in an affiliated entity; and*
- D. any significant liabilities, contingent or otherwise, and material commitments.*

Perpetual futures are leveraged products with no expiration. Unlike traditional futures contracts, perpetual futures lack any final settlement date. Market prices of a perpetual future contract as well as its underlying asset, funding rates, indices, volatility, correlations, and liquidity can change rapidly and unpredictably, producing significant losses, including losses greater than posted margin. If a customer fails to meet margin requirements during market moves, Kinetic Markets may liquidate positions without prior notice and at adverse prices.

Customer funds are held in compliance with the Commodity Exchange Act and CFTC segregation rules, including Rule 1.20 and related requirements. Kinetic Markets is required to maintain a Residual Interest Target Amount; widespread customer margin shortfalls during stress could increase compliance risk until deficiencies are cured.

Liquidity risk may arise from intraday margin calls, increases in clearing requirements, or reduced market

depth. Kinetic Markets conducts cash forecasting and stress testing to help meet obligations to clearing intermediaries and to satisfy regulatory capital requirements; severe conditions may still require rapid position reductions.

Operational and technology risks—including system outages, latency, cyber events, data errors, or third-party service disruptions—may delay order entry, execution, margining, funding-rate calculations, or liquidations, and may limit account access. Surveillance and trade monitoring are performed internally; critical services may also involve affiliates and external vendors.

Settlement and banking risks may occur due to payment-rail cut-offs, bank holidays, intraday credit withdrawal, or custodian/intermediary failures, which can impede timely margin payments or liquidations. Collateral and settlements are in U.S. dollars only.

Legal and regulatory changes—domestic or foreign—may alter margin, funding-rate mechanics, collateral eligibility, trading access, reporting, customer-fund protections, or other requirements, and may necessitate rapid changes to product access or risk parameters.

Firm Designated Self-Regulatory Organization (“DSRO”)

Pursuant to CFTC Rule 1.55(k)(6), the following information details the Firm’s DSRO.

National Futures Association

Website: <https://www.nfa.futures.org>

Annual Audited Financial Statements

Pursuant to CFTC Rule 1.55(k)(6), the following information details the Firm’s annual audited financial statements.

Kinetic Markets, LLC’s annual audited financial statements may be found at the website below:

Link: <https://kalshi.com/kinetics>

Material Administrative, Civil, Enforcement, or Criminal Complaints or Actions

Pursuant to CFTC Rule 1.55(k)(7), the Firm does not have material administrative, civil, enforcement, or criminal complaints or actions against the Firm.

Customer Fund Segregation

Pursuant to CFTC Rule 1.55(k)(8), described below is a basic overview of customer fund segregation, FCM collateral management and investments, FCMs and joint FCM/Broker Dealers.

FCMs may maintain up to three types of accounts for customers, depending on the products a customer trades:

- (i) a Customer Segregated Account for customers who trade futures and options on futures listed on U.S. futures exchange;
- (ii) a Secured or 30.7 Account ("Secured Account") for customers who trade futures and options on futures listed on foreign board of trades; and
- (iii) a Cleared Swaps Customer Account for customers trading swaps that are cleared on a DCO registered with the CFTC.

The requirement to maintain these separate accounts reflects the different risks posed by the different products. Cash, securities and other collateral (collectively, Customer Funds) required to be held in one type of account, e.g., the Customer Segregated Account, may not be commingled with funds required to be held in another type of account, e.g., the Secured Account, except as the Commission may permit by order. For example, the Commission has issued orders authorizing ICE Clear Europe Limited, which is registered with the Commission as a DCO, and its FCM clearing members: (i) to hold in Cleared Swaps Customer Accounts Customer Funds used to margin both (a) Cleared Swaps and (b) foreign futures and foreign options traded on ICE Futures Europe, and to provide for portfolio margining of such Cleared Swaps and foreign futures and foreign options; and (ii) to hold in Customer Segregated Accounts Customer Funds used to margin both (c) futures and options on futures traded on ICE Futures US and (d) foreign futures and foreign options traded on ICE Futures Europe, and to provide for portfolio margining of such transactions.

Customer Segregated Account. Funds that customers deposit with an FCM, or that are otherwise required to be held for the benefit of customers, to margin futures and options on futures contracts traded on futures exchanges located in the U.S., i.e., designated contract markets, are held in a Customer Segregated Account in accordance with section 4d(a)(2) of the Commodity Exchange Act and Commission Rule 1.20. Customer Segregated Funds held in the Customer Segregated Account may not be used to meet the obligations of the FCM or any other person, including another customer.

All Customer Segregated Funds may be commingled in a single account, i.e., a customer omnibus account, and held with: (i) a bank or trust company located in the U.S.; (ii) a bank or trust company located outside of the U.S. that has in excess of \$1 billion of regulatory capital; (iii) an FCM; or (iv) a DCO. Such commingled account must be properly titled to make clear that the funds belong to, and are being held for the benefit of, the FCM's customers. Unless a customer provides instructions to the contrary, an FCM may hold Customer Segregated Funds only: (i) in the U.S.; (ii) in a money center country;¹ or (iii) in the country of origin of the currency.

An FCM must hold sufficient U.S. dollars in the United States to meet all U.S. dollar obligations and sufficient funds in each other currency to meet obligations in such currency. Notwithstanding the foregoing, assets

¹ Money center countries mean: Canada, France, Italy, Germany, Japan, and the United Kingdom.

denominated in a currency may be held to meet obligations denominated in another currency (other than the U.S. dollar) as follows: (i) U.S. dollars may be held in the U.S. or in money center countries to meet obligations denominated in any other currency; and (ii) funds in money center currencies² may be held in the U.S. or in money center countries to meet obligations denominated in currencies other than the U.S. dollar.

Secured Account. Funds that Secured Customers deposit with an FCM, or that are otherwise required to be held for the benefit of customers, to margin futures and options on futures contracts traded on foreign boards of trade, i.e., Secured Customer Funds, and sometimes referred to as the foreign futures and foreign options secured amount, are held in a Secured Account in accordance with Commission Rule 30.7.

Funds required to be held in the Secured Account for or on behalf of Secured Customers may be commingled in an omnibus account and held with: (i) a bank or trust company located in the U.S.; (ii) a bank or trust company located outside the U.S. that has in excess of \$1 billion in regulatory capital; (iii) an FCM; (iv) a DCO; (v) the clearing organization of any foreign board of trade; (vi) a foreign broker; or (vii) such clearing organization's or foreign broker's designated depositories. Such commingled account must be properly titled to make clear that the funds belong to, and are being held for the benefit of, the FCM's Secured Customers. As explained below, Commission Rule 30.7 restricts the amount of such funds that may be held outside of the U.S.

Customers trading on foreign markets assume additional risks. Laws or regulations will vary depending on the foreign jurisdiction in which the transaction occurs, and funds held in a Secured Account outside of the U.S. may not receive the same level of protection as Customer Segregated Funds. If the foreign broker carrying Secured Customer positions fails, the broker will be liquidated in accordance with the laws of the jurisdiction in which it is organized, which laws may differ significantly from the U.S. Bankruptcy Code. Return of Secured Customer Funds to the U.S. will be delayed and likely will be subject to the costs of administration of the failed foreign broker in accordance with the law of the applicable jurisdiction, as well as possible other intervening foreign brokers, if multiple foreign brokers were used to process the U.S. customers' transactions on foreign markets.

If the foreign broker does not fail but the Secured Customers' U.S. FCM fails, the foreign broker may want to assure that appropriate authorization has been obtained before returning the Secured Customer Funds to the FCM's trustee, which may delay their return. If both the foreign broker and the U.S. FCM were to fail, potential differences between the trustee for the U.S. FCM and the administrator for the foreign broker, each with independent fiduciary obligations under applicable law, may result in significant delays and additional administrative expenses. Use of other intervening foreign brokers by the U.S. FCM to process the trades of Secured Customers on foreign markets may cause additional delays and administrative expenses.

To reduce the potential risk to Secured Customer Funds held outside of the U.S., Commission Rule 30.7 generally provides that an FCM may not deposit or hold Secured Customer Funds in permitted accounts outside of the U.S. except as necessary to meet margin requirements, including prefunding margin requirements, established by rule, regulation, or order of the relevant foreign boards of trade or foreign

² Money center currencies mean the currency of any money center country and the Euro.

clearing organizations, or to meet margin calls issued by foreign brokers carrying the Secured Customers' positions. The rule further provides, however, that, in order to avoid the daily transfer of funds from accounts in the U.S., an FCM may maintain in accounts located outside of the U.S. an additional amount of up to 20 percent of the total amount of funds necessary to meet margin and prefunding margin requirements to avoid daily transfers of funds.

Cleared Swaps Customer Account. Funds deposited with an FCM, or otherwise required to be held for the benefit of customers, to margin swaps cleared through a registered DCO, i.e., Cleared Swaps Customer Collateral, are held in a Cleared Swaps Customer Account in accordance with the provisions of section 4d(f) of the Act and Part 22 of the Commission's rules. Cleared Swaps Customer Accounts are sometimes referred to as LSOC Accounts. LSOC is an acronym for "legally separated, operationally commingled." Funds required to be held in a Cleared Swaps Customer Account may be commingled in an omnibus account and held with: (i) a bank or trust company located in the U.S.; (ii) a bank or trust company located outside of the U.S. that has in excess of \$1 billion of regulatory capital; (iii) a DCO; or (iv) another FCM. Such commingled account must be properly titled to make clear that the funds belong to, and are being held for the benefit of, the FCM's Cleared Swaps Customers. Kinetic Markets does not hold any cleared swaps customer funds.

Investment of Customer Funds. Section 4d(a)(2) of the Act authorizes FCMs to invest Customer Segregated Funds in obligations of the United States, in general obligations of any State or of any political subdivision thereof, and in obligations fully guaranteed as to principal and interest by the United States. Section 4d(f) authorizes FCMs to invest Cleared Swaps Customer Collateral in similar instruments. Commission Rule 1.25 authorizes FCMs to invest Customer Segregated Funds, Cleared Swaps Customer Collateral and Secured Customer Funds in instruments of a similar nature. Commission rules further provide that the FCM may retain all gains earned and is responsible for investment losses incurred in connection with the investment of Customer Funds. However, the FCM and customer may agree that the FCM will pay the customer interest on the funds deposited.

Permitted investments include:

- (i) Obligations of the United States and obligations fully guaranteed as to principal and interest by the United States (U.S. government securities);
- (ii) General obligations of any State or of any political subdivision thereof (municipal securities);
- (iii) Obligations of any United States government corporation or enterprise sponsored by the United States government (U.S. agency obligations);³
- (iv) Interests in certain government money market mutual funds;
- (v) Interests in certain short-term U.S. Treasury exchange-traded funds; and
- (vi) General obligations of Canada, France, Germany, Japan, and the United Kingdom (permitted foreign sovereign debt), provided that the FCM may invest in the permitted sovereign debt of a country to the extent an FCM has balances in segregated accounts owed to its customers denominated in that country's currency.

Except for investments in government money market funds, U.S. Treasury exchange-traded funds, and

³ Obligations issued by the Federal National Mortgage Association or the Federal Home Loan Mortgage Association are permitted only while these entities operate under the conservatorship or receivership of the Federal Housing Finance Authority with capital support from the United States.

permitted foreign sovereign debt, the duration of the securities in which an FCM invests Customer Funds cannot exceed, on average, two years.

An FCM may also engage in repurchase and reverse repurchase transactions with non-affiliated registered broker-dealers, provided such transactions are made on a delivery versus payment basis and involve only permitted investments. All funds or securities received in repurchase and reverse repurchase transactions with Customer Funds must be held in the appropriate Customer Account, i.e., Customer Segregated, Secured or Cleared Swaps Account. Further, in accordance with the provisions of Commission Rule 1.25, all such funds or collateral must be received in the appropriate Customer Account on a delivery versus payment basis in immediately available funds.⁴

Filing a Customer Complaint

Pursuant to CFTC Rule 1.55(k)(9), please see below for how a customer may obtain information regarding filing a complaint about the FCM with the CFTC or with the FCM's DSRO.

CFTC Division of Enforcement Complaints Filing

A customer may file a complaint about Kinetic Markets or one of its employees with the CFTC by contacting the CFTC's Division of Enforcement either electronically or by calling the Division of Enforcement toll-free number:

- CFTC Division of Enforcement Complaint Form: <https://forms.cftc.gov/Forms/Complaint/Screen1>
- CFTC Toll-Free Number: 866-FON-CFTC (866-366-2382)

National Futures Association Complaints Filing

A customer may file a complaint about Kinetic Markets or one of its employees with the National Futures Association ("NFA") either electronically or by calling the NFA directly:

- NFA Complaint Form: <https://www.nfa.futures.org/complaintnet/FileAComplaint.aspx>
- NFA Information Center Number: 312-781-1410 or 800-621-3570

Kinetic Markets Financial Data

Pursuant to CFTC Rule 1.55(k)(10), the Firm's most recent month-end data can be accessed at the link below.

Kinetic Markets, LLC Monthly Financial Disclosures: <https://kalshi.com/kinetics>

⁴ NFA publishes twice-monthly a report, which shows for each FCM, inter alia, the percentage of Customer Funds that are held in cash and each of the permitted investments under Commission Rule 1.25. The report also indicates where the FCM held any Customer Funds during that month at a depository that is an affiliate of the FCM.

Kinetic Markets Risk Practices, Controls, and Procedures

Pursuant to CFTC Rule 1.55(k)(11), please see below for a summary of Kinetic Markets's current risk practices controls, and procedures.

Kinetic Markets has established, maintains, and enforces a comprehensive Risk Management Program ("RMP") through written policies and procedures. The RMP is approved in writing by the Firm's Governing Body on an annual basis and upon any material change. The RMP focuses on the specific risks identified in CFTC Regulation 1.11, as well as other risks identified by the Firm. The Firm's RMP was designed and implemented to monitor and manage the risks associated with its activities as a registered futures commission merchant ("FCM") and to comply with Commodity Futures Trading Commission ("CFTC") Regulations 1.11, 1.14, and 1.15.

Risk Governance. The Firm maintains a risk governance framework consisting of the Governing Body, Senior Management, a Risk Committee, and an independent Risk Management Unit ("RMU"). The Risk Committee meets quarterly to provide oversight of the RMU's activities and serves as an escalation point for limit breaches and other risk-related concerns. The RMU is independent from the Firm's business unit and is responsible for administering the RMP on a day-to-day basis.

Risks Monitored. The RMP addresses the following risk categories: market risk, credit risk, liquidity risk, capital risk, foreign currency risk, legal risk, operational risk (including settlement risk), technological risk, segregation risk, and affiliate risk. For each risk category, the Firm has established quantitative Risk Tolerance Limits that are monitored on an intra-day and end-of-day basis. Early warning thresholds are prescribed at 85% of corresponding limits, and breaches are escalated to Senior Management and the Governing Body.

Customer Protections. The Firm holds customer funds in cash in segregated accounts and does not invest customer funds. The Firm limits credit risk exposure to customers through collateral requirements, liquidation protections, and position limits. Customers are required to maintain equity above specified margin thresholds, and accounts may be auto-liquidated if account equity falls below initial margin requirements.

Reporting and Audit. Each quarter, or upon detection of a material change in risk exposure, the RMU produces a written risk exposure report that is shared with the Governing Body, Senior Management, and Risk Committee, and submitted to the CFTC and NFA. The RMP is subject to an independent annual audit, the results of which are made available to the CFTC and NFA upon request.